# ANUK PUBLIC SECTOR ACCOUNTING & FINANCE JOURNAL

Contact Address:

ANAN UNIVERSITY BUSINESS SCHOOL,
14 Road, Off 1st Avenue,
Gwarimpa, Abuja

**September, 2025**

Published September 2025

Web Address: hyyps://www.anukpsaj.com Email: anukpsafj@gmail.com



Printed by:
EDUCODEX LTD
5 Otukpo Street, Area 11 Garki, Abuja.
08055006444, 08148134773
Email: educodex1@gmail.com
Website: www.educodex.com

## EDITORIAL

It is with great pleasure and a deep sense of academic fulfillment that we present the maiden edition of the Public Sector Accounting and Finance Journal (PSAFJ), published by ANAN University, Kwall. This inaugural issue marks a significant milestone in the University's commitment to advancing scholarship, policy, and practice in the field of public sector accounting, finance, and governance.

In an era when nations are striving for transparency, accountability, and fiscal sustainability, the role of public sector accounting and finance has never been more critical. The journal is therefore conceived as a platform for intellectual engagement, rigorous research, and policy discourse that contribute meaningfully to the strengthening of public financial management systems, good governance, and sustainable development in Nigeria and beyond.

This maiden edition features ten scholarly articles drawn from a wide spectrum of research interests and methodologies within the field. The papers collectively address critical issues ranging from public sector financial reporting and accountability, budgeting reforms, internal control mechanisms, audit quality, fiscal transparency, to the application of emerging technologies in public finance management. Each contribution reflects the authors' depth of research and commitment to the continuous improvement of public sector governance and accountability.

**COLLEGE OF PUBLIC SECTOR ACCOUNTING**
**ANUK Public Sector Accounting and Finance Journal (APSAFJ)**

**THE OBJECTIVE OF THE JOURNAL**

To provide a platform for researchers and academics to publish research papers and articles within the research domains of public sector accounting, public finance, public economics, environmental, oil and gas accounting, public financial management, taxation and fiscal policy, public policy and finance, macroeconomics and development, public treasury management, and other related areas..

## ETHICS AND POLICIES

### 1. Publication Ethics

At the ANUK Public Sector Accounting and Finance Journal (APSAFJ), we uphold the highest standards of publication ethics to ensure the integrity and quality of our scholarly outputs. We are committed to ethical publishing practices, guided by the principles of the **Committee on Publication Ethics (COPE)**. All authors, reviewers, and editors are expected to adhere to the following ethical standards:

- **Plagiarism:** All submitted manuscripts undergo plagiarism detection using [Plagiarism Detection Tool, e.g., Turnitin]. Manuscripts found to contain significant plagiarism, including self-plagiarism, will be rejected. Authors are encouraged to properly cite and attribute all sources.
- **Authorship:** Only individuals who have significantly contributed to the research and manuscript preparation should be listed as authors. Ghostwriting, guest authorship, and other forms of unethical authorship are strictly prohibited.
- **Research Misconduct:** Fabrication, falsification, or misrepresentation of data are unacceptable. Any suspected cases of research misconduct will be investigated and may lead to retraction of the published work.

### 2. Conflict of Interest Disclosures

To maintain transparency and objectivity, all authors, reviewers, and editors must disclose any potential conflicts of interest that could influence the outcome or interpretation of their work. Conflicts of interest may include, but are not limited to:

- Financial relationships (e.g., funding, employment, stock ownership).
- Personal relationships or competing interests that could affect the impartiality of the research.

Authors must include a **Conflict of Interest Statement** in their manuscript, even if no conflicts exist (e.g., "The authors declare no conflicts of interest"). Reviewers and editors must recuse themselves from handling manuscripts where conflicts of interest exist.

### 3. Data Availability and Sharing Policies

To promote transparency and reproducibility in research, ANUK Public Sector Accounting and Finance Journal (APSAFJ) encourages authors to share their data wherever possible. Our data sharing policy is as follows:

- **Data Availability Statement:** Authors must include a statement in their manuscript specifying whether and how the data supporting their findings are available. Examples include:
  - "The data supporting this study are available in [repository name, DOI or link]."
  - "The data used in this study are available upon reasonable request from the corresponding author."
- **Preferred Repositories:** Authors are encouraged to deposit their data in trusted repositories that provide DOIs or persistent identifiers (e.g., Dryad, Figshare).
- **Ethical Considerations:** Data involving human participants must comply with ethical guidelines and institutional requirements, including anonymization where necessary.
- **Open Data:** Where possible, authors should consider licensing their data under open terms (e.g., Creative Commons licenses) to facilitate reuse.

## EDITORIAL POLICIES

**1. Peer Review Process**

At the ANUK Public Sector Accounting and Finance Journal (APSAFJ), we employ a rigorous peer review process to ensure the highest standards of scholarly integrity and quality in published research. Our peer review system is described below:

- **Type of Review:** We use a **double-blind peer review process**, where:
  - In **double-blind review**, both the authors and reviewers remain anonymous to each other to ensure impartiality.
- **Reviewer Selection:** Reviewers are selected based on their expertise in the subject matter of the manuscript.
- **Timeline:** The peer review process typically takes 10 – 20 days, depending on the complexity of the manuscript and reviewer availability.
- **Decision Criteria:** Editorial decisions are based on originality, methodological rigor, significance to the field, and adherence to ethical standards.

**2. Publication Frequency**

- **Frequency of Publication:** ANUK Public Sector Accounting and Finance Journal (APSAFJ) publishes on a **quarterly** basis, with issues released in June and December.
- **Special Issues:** In addition to regular issues, the journal occasionally publishes special issues on emerging topics of interest.

**3. Copyright and Licensing**

- **Copyright Policy:** APSAJ retains the copyright to the article submitted to the journal, the rights to publish and distribute their articles. The authors' rights include:
  - Reuse and redistribution of the published work.
  - Use of the work in academic and educational settings.
- **Licensing:** Articles are published under a **Creative Commons Attribution License (CC BY)**, which permits unrestricted use, distribution, and reproduction in any medium, provided the original author and source are credited.
  - License Details: Link to the specific license, e.g., CC BY 4.0.

**4. Archiving Policy**

To ensure long-term preservation and access to published content, ANUK Public Sector Accounting and Finance Journal (APSAFJ) has implemented robust archiving strategies, including:

- **LOCKSS (Lots of Copies Keep Stuff Safe):** A decentralized preservation system that ensures content remains accessible even in the event of a system failure.
- **CLOCKSS (Controlled LOCKSS):** Content is preserved in trusted digital archives for secure, long-term storage.
- **Institutional Repositories:** Articles are deposited in [specific repositories or institutional archives], ensuring perpetual access.
- **Self-Archiving Policy:** Authors are encouraged to deposit the published version of their articles in institutional or subject-specific repositories.

Our commitment to archiving ensures that your research remains accessible and discoverable for future generations.

**5. Standard Journal Content Format**

The standard format for content is as follows;

**1. Introduction**
**2. Statement of Research Problem**
**3. Research Hypotheses or Objectives**
*Review of Related Literature
**4. Data Presentation & Analysis**
**5. Research Findings & Discussion of Findings**
**6. Conclusion, Recommendation & Policy Implication**
**7. References**
**8. Appendices**

Or

1. **Indroduction** (Background of the study, research gap, research hypotheses, scope of study, significance of the study).

**2.0. Literature Review**
2.1 Conceptual Review
2.2 Empirical Review
2.3 Theoritical Review'

**3.0 Methodology**
3.1 Research Design
3.2 Population sample size and sampling techniques
3.3 Analytical Tools
3.4 Model Specification

**4.0 Data Presentation & Analysis**
4.1 Data Presentation
4.2 Analysis & Findings
4.3 Discussion of Findings

**5.0 Conclusion**
5.1 Recommendations & Policy Implication

**References**

**Appedices**

## TABLE OF CONTENTS

# EFFECT OF INTERNATIONAL PUBLIC SECTOR ACCOUNTING STANDARDS ADOPTION ON FINANCIAL REPORTING QUALITY IN LAGOS STATE MINISTRIES.

**JOHN ACHUA, ph.d**

**ANAN University Kwall, Plateau State**

**johnachua@gmail.com**

**&**

**JOSEPH FEMI ADEBISI**

**ANAN University, Kwall, Plateau State**

**Abstract**

*The Lagos State Government's desire for continuous improvement in governance, including the administration of public resources,the adoption of global best practices, and in response to the shortcomings of the cash basis accounting system led to the adoption of the International Public Sector Accounting Standard IPSAS. This study, therefore, examined the effect of IPSAS adoption on quality of financial reporting in Lagos State Ministries. IPSAS adoption was the independent variable while full disclosure of financial reporting, transparency, comparability, accountability and value relevance of financial reporting were the study's dependent variables. The population and operational sample sizes for the investigation were 1966 and 440, respectively. The study adopted a quantitative survey research design, and a 5-point Likert scaled close-ended questionnaire, administered to accountants, tax officers and auditors working for Lagos State government for data collection.The data for the study were analyzed using simple regression with the aid of Statistical Packages for Social Sciences (SPSS) version 23. The study found that IPSAS adoption had positive and significant effect on full disclosure of financial reporting, transparency, comparability, and accountability of financial reporting with the exception of value relevance of financial reporting of which IPSAS adoption had positive but non-significant effect in Lagos State Ministries. Based on the findings, it was recommended by the study that management of Ministries in Lagos State should continue to implement IPSAS in the state as a result of the positive effects on quality of financial reporting. It was also recommended that in order to lessen difficulties in implementing IPSAS in the State the government should train and retrain its personnel for optimal performance in the adoption of IPSAS in Lagos State Ministries.*

***Keywords****: IPSAS adoption, financial reporting quality*

## INTRODUCTION

Quality financial information plays a crucial role in accountability of government to their citizens and how it meets its financial administrative responsibilities. Hitherto, countries of the world have outlined and establish the means and standards for reporting of financial activities. However, the encouraging increase in collaboration and international trade has led to the adoption of uniformity of a standard which will guide the preparation of financial statements in order to be comparable and understandable by the users of financial statements such as existing and potential investors, employees, lenders, suppliers and other trade creditors, customers, government and their agencies, and the public. Also, the global economic crisis that hit major world economies in addition to the crude oil price fluctuations in the oil international market has put almost the whole world, including Nigeria on the pursuit for the best conceivable approaches to resolve the crisis. This brought about the implementation of International Public Sector Accounting Standards by the International Federation of Accountants through International Public Sector Accounting Standard Board (Acho, 2014). International Public Sector Accounting Standards formed an important part of public sector reforms and followed a global trend in government accounting in response to calls for greater government financial accountability and transparency which is a fundamental principle of democracy (Opaniyi, 2016).

International Public Sector Accounting Standards (IPSAS) are elaborated by the International Public Sector Accounting Standards Board (IPSASB), an independent standard-setting body of the International Federation of Accountants (IFAC), specifically for public sector entities (IFAC, 2022). Public sector accountability has always been a crucial aspect of governance. With public funds at stake, it is important to ensure that the financial management of government entities is transparent and accurate (Mnif & Gafsi, 2020). This led to the emergence of IPSAS, which aims to standardize accounting practices in the public sector (Christiaen et al., 2010). Over time, financial reporting quality in public sector entities have been challenged in several fora both internationally and nationally as a result of the inadequacy of financial information employed in the preparation and presentation of government financial reports. The inadequacies of financial information had affected public policy decisions and contribute to unreliable reports by public sector entities (Dabor & Aggreh, 2017). The primary objective of financial reporting is to provide sufficient financial information concerning economic existence of an entity and relevant information useful for decision makings (Saleh et al, 2021). According to International Accounting Standard Board (IASB, 2019), financial reporting is to provide information about the financial position of an entity that is useful to various users in making economic decisions. Therefore, the need for the development of a unified accounting standards has been the primary driver of international public sector Accounting Standards for public sector financial reporting (Olola, 2019; Nzewi & Faith, 2020). Gebreyesus (2021) maintained that IPSAS adoption is meant to improve the quality of general-purpose financial reporting by public sector entities, leading to better informed assessments of the resource allocation decisions, thereby increasing transparency and accountability of governments to their citizens and their elected representatives. Ademola et al (2017) noted that IPSAS adoption ensures excellent financial operations by increasing the level of accountability and transparency. This is possible because IPSAS provides a self-regulated internal control system. Studies conducted by AhmadImam et al (2020), Edwin et al (2020), Amahalu and Chinyere (2020), Gebreyesus (2021), Egolum and Ndum (2021), Beredugo (2021), Obineme et al (2021) and ThankGod et al (2021)), revealed that, the adoption of IPSAS by developing countries will improve both the quality and comparability of financial information reported by their government entities for external users.

In addition, the adoption of these standards has become increasingly popular in recent years as governments around the world recognize the importance of Transparency and accountability in financial reporting in the public sector (Ademola et al., 2017). According to Schimedthuber et al. (2019), IPSAS started in 1997, when the IPSASB developed 42 IPSAS, three Recommended Practice Guidelines (RPG), an IPSAS standard for reporting under the cash basis of accounting, and a conceptual framework, with the purpose of monitoring of governments debt and liabilities for their economic implications, ensuring transparency and accountability in public sector finances and enhancing citizen trust in government. The focus was to develop a framework for financial reporting that could be applied globally. This led to the publication of a framework which provides guidelines on how public sector organizations should prepare their financial statements. Since then, several updates and revisions have been made to IPSAS to keep up with changing times and evolving needs. (Chow & Pontoppidan, 2019; Jensen & Smith, 2013; Alesani, 2012; Biraud, 2010). Today, according to IFAC (2022), 43 IPSAS standards cover areas such as cash flow statements, revenue recognition, property plant and equipment (PPE) exist. According to IFAC/CPFA (2018, as cited in Schemedthuber, 2019) IPSAS are accrual-based accounting systems with the aim of providing more accurate information about the financial situation of a public entities and of increasing transparency and accountability. to enhance public financial management on a global level. Consequently, countries have embraced public sector reform programs based on accrual accounting, which are critical in enhancing public management and decision-making in government institutions (Christiaens et al., 2015). Furthermore, Christiaens et al. (2015) state that accrual accounting provides more and accurate information about government solvency, and the costs of public services. Mnif and Gafsi, (2020) argued that the need to improve government accountability and foster a more performance-based public sector and the growing knowledge of traditional government accounting's shortcomings have primarily motivated changes in the financial reporting system. Hence, many governments have shifted from cash accounting to accrual accounting.

Similarly, according to Polzer et al. (2020), the financial crisis involving Enron has made adopting accrual accounting inevitable for public sector entities in Western countries. Recent decades have been fruitful in reforms in public sector accounting worldwide, bringing public sector accounting close to business accounting (Gomes et al., 2023), and emphasizing the importance of adopting accrual-based accounting by countries. For this reason, public sector accounting literature has been characterized by a focus on reforms to accounting practices and the need for harmonizing accounting practices by minimizing the differences in financial reporting across countries (Schmidthuber et al., 2022). Polzer et al. (2021) argue that harmonizing accounting systems is described as a process by "which accounting moves away from total diversity of practice". Harmonizing public sector accounting internationally is often realized today by applying IPSAS (Brusca &Martínez, 2016).

Therefore, IPSAS was introduced to bring uniformity in public sector accounting practices across national boundaries (Aggestam-Pontoppidan & Andernack, 2016). Moreover, IPSAS are significant in accounting practices as they provide a robust framework for financial reporting in the public sector, which was previously lacking (Laswad & Redmayne, 2015). The primary objective of IPSAS is to provide a framework that enables public sector entities to produce financial statements that are credible, transparent, consistent, comparable and consolidation of financial statements, across different countries and jurisdictions. (Baskerville & Grossi, 2019; Ijeoma, 2014; Christiaens et al., 2015; Ademola et al., 2020; Polzer et al., 2022). Globalization has increased the interconnection of economies and cultures across the globe. High levels of cross-border trade increased financial and foreign direct investment flows, rapid liberalization, and developments in information technology (Ademola et al., 2020). These have contributed to the need for uniformity in reporting public finance, different from the private sector, where financial reporting has been harmonized using the International Financial Reporting Standards (Tarca, 2020).

However, current body of research on IPSAS implementation in Africa is limited to a few key areas, such as full adoption (Mnif & Gafsi, 2022; Mkasiwa, 2022; Sellami et al., 2019; Lakshi et al., 2022; Boolaky et al., 2022), effects on financial management, accountability and transparency (Indeche et al., 2022; Ogbuagu, 2019; Ismaili& Ismajli,2020; Shakirat, 2019), and challenges faced by implementing countries (Polzer et al., 2022; Ninson, 2022; Adhikari et al., 2015). While these studies offer valuable insights, they focus on IPSAS implementation as a whole, not as a process which involves steps, and they do not stress facilitating factors to provide a picture of the progress being made on the continent. Tawiah (2023), suggests that measuring IPSAS adoption should capture the entire adoption process. This research gap is particularly crucial to be studied given the diversity of governmental structures, cultures, and economies across Africa and Nigeria in particular. Also, the gap analysis undertaken by the Federal Government of Nigeria in an attempt to benchmark government accounting with cash IPSASs reveal that the traditional cash basis of accounting was inadequate as it fails to take into cognizance accurate costs, all assets and liabilities made by the government (Dankwanbo, 2010).The accountability challenges in Nigeria, and Lagos State, in particular are as a result of the cases of wrong practices such as ghost workers on the pay roll of ministries and extra-ministerial departments; fraud, embezzlements and destroying of sensitive office documents; poor budget implementation; and corruption (Onuorah and Appah, 2012). Perpetuation of such financial malpractices and other fraudulent practices were made more possible by the use of cash-basis of accounting system instead of global accounting standards such as IPSAS in Lagos State of Nigeria as the former lacks international best practices and global understandability of the financial statements paving way for the alleged bad governance and accountability and increase in cases of corruption among public officers.

It is against the above backdrop that this study is considered very necessary in Lagos being the economic nerve centre of Nigeria, considering the arguments of IPSASB that IPSAS could address financial accountability related challenges. The main objective of this study is to examine the effect of International Public Sector Accounting Standard adoption on Financial Reporting Quality in Lagos State, with the aid of the following hypotheses:

**$Ho_1$:** International public sector accounting standards adoption has no significant effect on accountability in financial reporting quality of Lagos State public sector in Nigeria.

**$Ho_2$:** International public sector accounting standards adoption has no significant effect on transparency in financial reporting quality of Lagos State public sector in Nigeria.

**$Ho_3$:** International public sector accounting standards adoption has no significant effect on value relevance in financial reporting quality of Lagos State public sector in Nigeria,

**$Ho_4$:** There is no significant effect of International public sector accounting standards adoption on comparability in financial reporting quality of Lagos State public sector in Nigeria.

**$Ho_5$:** International public sector accounting standards adoption has no significant effect on full disclosure in financial reporting quality of Lagos State public sector in Nigeria.

## THEORETICAL FRAMEWORK

### Stewardship Theory

This study is hinged on stewardship theory which was introduced by Donaldson and Davis in 1989. Meant to understand the existing relationships between ownership and management of the company, the theory assumes that individuals seek to fulfil higher order needs through pro-organisational behaviour and thus will naturally align their interests with those of the organisation. This study adopts stewardship theory because its underpins the relationship between two parties, the principal (government) and the stewards (employees) (Donaldson & Davis, 1991). On the contrary, this study considers the relationship between the principal (general public) and the stewards (government. Stewardship theory is built upon the quality of the relationship between the principal and steward based on the ideals of the organization (Corbetta & Salvato, 2004). The assumption of the theory is that the relationship between principal and steward is based on choice. The theory further explains that a steward gets satisfaction in working for the best interest/achievement of the goal of the institution that employed him. Additionally, the theory argues that a steward recognises that individualistic, opportunistic, and self-serving goals will be achieved if work is done for the greater good of the organization. Under such circumstance, Government officials are likened to stewards as they are employed to manage the public funds and ensure development and a better standard of living for the people.

## EMPIRICAL REVIEW

There are several previous empirical investigations on international public sector accounting standards and financial reporting quality in developed, developing countries, Nigeria and Lagos state in particular, that we consider have some research gaps to justify our study. For instance, Tawiah and Soobaroyen (2022), studied the relationship between IPSAS adoption and the level of government financing in developing economies. Fifty-four (54) developing countries were used as sample over a study period of 13 years. The study employed correlation technique in analyzing the data collected. The study found a significant positive relationship between the use of IPSAS and external funding as well as inflow of foreign aid and grants to developing countries. The study concluded that international capital providers place more importance on IPSAS-based public sector financial reports. However, the study was conducted in developing economies, and we are of the view that the best analytical tool should have been panel data analysis.

Mijbil and Jabal (2021) examined the impact of the transition to international accounting standards on the quality of financial reporting in Iraq. The study employed a qualitative research approach by conducting a review of previous studies. The study showed that the adoption of international accounting standards in the public sector resulted in overcoming the difficulties encountered in performance evaluation process locally and internationally.

Egolum and Ndum (2021) investigated the effect of international public sector accounting standards adoption (IPSAS) on financial reporting quality of Anambra State public sector. The analytical work used a survey research design and primary data obtained from 127 employees of Anambra State Ministry Of Finance, Awka. Descriptive statistics and Chi square statistical tool were utilized. It was found out that the adoption of international public sector accounting standards encourages accountability, enhances transparency, and reduces corruption among public officials in the state. The study is limited to only one out of the many MDAs in Anambra.

Beredugo (2021) examined effect of International Public Sector Accounting Standards (IPSAS) Implementation and Financial Reporting: Issues and Challenges in South-East Nigeria. The survey research design was employed, using structured questionnaire and the population of the study consists of accountants, auditors and cash officers in government ministries, departments and agencies in Abia, Anambra, Enugu, Ebonyi and Imo States. The population was estimated at 8901 for the five States. The sample size of 387 was drawn using the stratified sampling technique. The Analysis of Variance (ANOVA) was used for the hypothesis test. The results showed that the challenges that impinge the full implementation of IPSAS in Nigeria include governments' unwillingness in terms of political-will towards full IPSAS implementation, statutory adjustment, inadequate funding and institutional commitment among others. It was therefore recommended that there should be adequate funding for the IPSAS implementation projects as most of the Public Sector Entities attributed inability to implement IPSAS Accrual to paucity of funds. Government should also show more political will as well as commitment and support for the accrual basis IPSAS implementation at the Local Government level. However, a sample size of 387 out of a population of 8901 in five states is too small to draw conclusion on the issues and challenges of IPSAS implementation in South-East Nigeria.

Ezekwere and Onuor, (2021) looked into how the extent of International public sector accounting standards application affected accountability and transparency in Anambra State. Survey research design was utilized to gather data through primary source, while internal audit, accounting department, and finance department serve as the population of the study. Descriptive statistics and analysis of variance (ANOVA) were used to assess the hypotheses that were developed. According to the survey, MDAs in the state have heavily utilized IPSAS for reporting financial information. The study's emphasis is by all means limited to only questionnaire without proper scrutiny of annual reports of MDA's.

Saleh et al (2021) assessed issues and challenges in implementing international public sector accounting standards (IPSAS). Methodology adopted for the study was review of past studies and published information on the issues and challenges faced by various developing countries in adopting IPSAS. The study findings showed that the challenges faced by countries in adopting IPSAS can be classified into three categories: (1) Resources which include a lack of competent accounting and finance staff, and a lack of IT facilities and IT support; (2) Accounting and reporting issues related to difficulties in the recognition and measurement of assets, liabilities, revenue and expenses; and (3) Top management commitment in ensuring successful change management programmes. The study concluded that, the experiences in IPSAS implementation across developing countries have been very similar and can be categorised into the above challenges. The study is limited in scope because the researcher only reviewed existing literature without getting feedback from respondents or drawing conclusions based on Statements of Accounts.

Gebreyesus (2021) assessed challenges and benefits of adopting international public sector accounting standards in developing countries the case of Ethiopia. The methods used for the study were document analysis and interview with concerned officials of accounting and auditing board of Ethiopia for triangulation. The results show that the adoption of IPSAS enhances level of accountability and transparency of managements by providing timely and clear annual financial reports. However, Ethiopia is just a single developing country. What is possible in Ethiopia should not and cannot be used as a basis for judging other developing countries as it concerns IPSAS adoption.

Obineme et al (2021) evaluated challenges facing adoption of International Public Sector Accounting Standards (IPSAS) in valuation reporting in Nigeria. Questionnaire, key informant interviews, and content analysis were adopted. Nine hundred and thirty-four (934) Estate Surveyors and Valuers both in private and public sectors, in addition to twenty-six (26) accountants in different ministries all-in Nigeria were sampled. Data obtained were analysed with the use of the following statistical tools: Relative Importance Indices (RII), Mean, Frequency and Percentage Distribution. Findings indicate that political Challenges ranked first in both respondent's views' with (RII = 4.69) and (RII =5.00) respectively. And other variables followed which affects adoption of IPSAS. The study recommends that, for transparency, accountability and to be in line with international best practices that all the variables analysed in this study should be fully considered. The study is limited because all the variables where not fully considered.

Tawaih (2021) investigated how worldwide public accounting standards aid or impede misconduct in emerging economies. Between 2005 and 2017, he applied the System Generalizable Method of Moments (SGMM) on a sample size of 77 emerging economies. He discovered that IPSAS is inversely and substantially connected with corruption, meaning that adopting IPSAS aids in the prevention of corruption in emerging regions. After adjusting for IPSAS history and the deployment of other standards, the results remain constant. However, subsequent study found that the inverse effect of IPSAS on corruption is more acute in nations that have accrual-based IPSAS in place. The study was conducted using emerging economies.

Izuekee, Onah, Ugwuibe, Okwueze, Agu, Ugwu & Ezeibe (2020) carried out study on whether the application of global public sector accounting standards (IPSAS) in Nigeria, since its introduction in 2014 has resulted in increased public sector reporting qualities. Following a qualitative survey of agencies in five states in southern Nigeria, the data were reviewed using the comparative discussion procedure. They discovered that the level of IPSAS implementation in Nigeria has resulted in a lack of openness and responsibility within the public service. They additionally observed that the major conditions for complete IPSAS implementation are governmental will, accrual accounting regulations, and internet access, all of which were lacking at our study site. The study was limited to southern Nigeria.

The role of foreign public sector accounting standards in reducing corruption among Enugu State public officials was explored by Ezejiofor, Okolocha, and Ofurum (2020). They conducted a survey on all employees of the Enugu State Ministry of Finance. The researchers used frequency counts and mean scores to analyze the study's findings. The hypothesis was tested at 5% significance using SPSS version 20.0's t-test statistical tool. Findings revealed that implementing worldwide governmental accounting standards reduces crime. The study is limited to only staffs of Enugu state ministry of Finance.

Chytis et al (2020) assessed impact of Accounting Reform and IPSAS Adoption in Greece. A survey research design was realized by addressing a questionnaire to officers and employees of the finance department of 325 municipalities in Greece and to the elected representatives who are responsible for their financial management and reporting. Descriptive and inferential statistics were used to analyse the research data. The results from 58 municipalities that participated in the research show that even though the officers and employees of the finance department of municipalities are not familiar with IPSAS, there is a wide acceptance of the need to implement them. It was also concluded that municipalities in Greece are not prepared for the accounting change and the adoption of IPSAS. Overall, Greece appears to be at a premature stage with delays observed in the implementation of existing enacted reforms. The study recommended that all public organization should employ IPSAS implementation process for all the parties engaged in public administration reform such as regulators, standard setters, institutional organizations as well as to countries that are in process or planning to adopt IPSAS. The study indicates that IPSAS is still strange and far from adoption in Greece.

Ademola, et al (2020) investigated the relationship between the adoption of IPSAS and the standard of financial reports in Southwest Nigeria. The effect on integrity and comparability of the financial statements of the IPSAS adoption was explicitly examined. Factor analysis and gamma statistics by Goodman and Kruskal was used to analysed primary data obtained from hundred and eighty accounting officers in Southwest, Nigeria. The empirical results revealed positive relationship between IPSAS adoption and financial reporting. consistency, credibility and comparability exist. The result from this study clearly reflects the important effects of IPSAS implementation on the costs of implementation, training of staff, technology factor, IPSAS knowledge, awareness, and expertise available. The research was based on a particular region of Nigeria.

Nzewi and Enuenwemba (2020) evaluated the impact of IPSAS on the Delta State ministry of finance. One hundred and eighty-five (185) participants were selected for the survey research design. Regression analysis was used to assess the data collected from the main source. The adoption of international public sector accounting standards was found to boost the efficiency and accountability of public employees. A gap exists because the research is carried out only in the Delta state ministry of finance.

Abata and Lamidi (2020) examined effect of adoption of international public sector accounting standards on general purpose financial statements in the public sector using a case study of local governments/local council development areas in Lagos state. The study employed expose-facto research design and secondary data were used and collected from 20 Local Governments and 37 Local Council Development Areas in Lagos State using a cross-sectional data from 2016 to 2018. The data for each year was analysed including the post estimation test of the model. The data for each year was tested in line with the first, second and third objectives of the study. The results of the findings for year 2016 shows that inventory and accounts receivable have relationship. Statutory transfers (allocations), Inventory, non-current assets and accounts payable have positive relationship. Among all the IPSAS Accrual indicators adopted for the study only non-current assets has a significant effect on financial position management for the year 2016. The outcomes of the analysis on 2017 data series reveal that statutory transfers (allocations), non-current assets and accounts payable have positive relationship. The last test conducted on 2018 data indicated that the statutory transfers (allocations) and non-current assets have positive relationship. Also, noncurrent asset has a strong and significant effect on financial position management. The study recommended that the Local Governments/Local Council Development Areas should continually adopt the international public sector accounting standards (IPSAS ACCRUAL) since some of its factors have strong, positive and significant impact on General Purpose Financial Statements (GPFS). The study is limited by the use of only secondary data for analysis.

Zivanai (2020) evaluated financial reporting conceptual objective of IPSAS 'fair presentation' in Africa. The study methodology adopted is mixed research methodology, through questionnaires and interviews on PAFA accountants in public sector practice across Africa. The findings revealed that the IPSAS financial reporting conceptual objective of 'fair presentation' is attainable with consistent application of professional judgments, taking into account the requisite accounting principles. However, the study did not recognise that Fair presentation is technically compounded for the average professional to apply and requiring a lot of additional guidance over a prolonged period of time for the preparer of the financial reports to comply with all IPSAS in the process of complying with the conceptual qualitative characteristics of relevance and reliability.

Ambarchian and Ambarchian (2020) accessed quality of IPSAS-based financial reports of intergovernmental organizations, which have fully adopted the accrual basis of accounting. The research database encompasses 20 financial reports estimated by 190 disclosure requirements aggregated in 31 indicators. The score assessment of financial reports has provided the data to build a multiple linear regression model that depicts the relation between the quality and the qualitative characteristics of the IPSAS-based financial reports. The F-testing and T-testing have proven the statistical significance of independent variables and β-parameters, respectively. The findings showed that qualitative characteristics of predictive value, completeness, neutrality, absence of material errors, timeliness, and verifiability have substantiated their significance, while the qualitative characteristics of confirmatory value, understandability, and comparability were identified as insignificant and, therefore, excluded from the model. The study suggested that firms should meet up-to-date demand for estimating the financial reports' quality in terms of the recent transition to IPSAS-based principles of accounting and reporting by governments and supranational organizations worldwide. From the study, it is suggested that firms should be up to date with quality reports which is most often not obtainable.

AhmadImam et al (2020) studied on international public sector accounting standard and implementation challenges in Yobe State, Nigeria. Data were gathered through primary sources. Primary data were collected through the use of structured questionnaires. Respondents were targeted from relevant Ministries, Department and Agencies (MDAs) that are saddled with the responsibility of ensuring the implementation of the standard (IPSAS). Purposive and snowball sampling were used for selecting the sample size. Inferential and descriptive statistics were employed to analysed the data collected through the use of Kendall's tau and multiple regression. The finding of the study shows a significant relationship between untimely implementation of accrual IPSAS and cost of implementation. The study concluded that if all mechanisms necessary for the smooth transition of accrual basis IPSAS is taken care of, then the standards can be implemented on time. The study recommends that the government of Yobe state should include in her annual estimate so that enough fund can be made available to carter for all the facilities necessary for accrual IPSAS implementation. Implementation of IPSAS as it where is still a major challenge in Yobe state. The study was limited to only Yobe state

Seiyaibo (2020) examined the adoption of International Public Sector Accounting Standards (IPSAS) and its impact on reducing Corruption in the Nigerian Public Sector. Utilizing survey research design, primary data were obtained by means of structured questionnaires and administered on three hundred (300) respondents comprising accounting practitioners from the public sector and academia in Bayelsa State Nigeria. Data analysis was conducted using Chi-square statistical tools and SPSS employing Statistical Product and Service Solutions version 22.0, The study revealed that accrual based IPSAS provides more information to forensic accountants in executing their job effectively. Equally, the findings suggest that report generated through IPSAS adoption helps forensic accountants in building sound internal control mechanism in the public sector. Thus, it is recommended that government at all tiers should adopt IPSAS given its numerous benefits despite minor implementation challenges which can be rectified by relevant regulatory agencies. However, one state out of 36 states including FCT is too insignificant to use as a basis for measuring impact of IPSAS adoption on corruption reduction in Nigeria. There exists a gap for further studies and contribution.

Edwin et al (2020) examined implementation of International Public Sector Accounting Standards (IPSAS) on public sector transparency and accountability in Nigeria since its adoption in 2014. A qualitative survey of the agencies in the 5 states of southeast Nigeria was carried out and analysis done using analytical discourse technique. There found out that the extent of the implementation of IPSAS in Nigeria has not achieved transparency and accountability in the public sector, in Nigeria. It was also discovered that political will, use of accrual bases of accounting and internet facilities are the underlying factors for a full implementation of IPSAS and that they were all lacking in the study area. The framework of analysis was principal - agent theory, which explained that the agents, the public sector officials pursue their interest first before those of their principals-the citizens. The lack of political will stems from the agents not wanting to be transparent and held accountable for their actions. Regulatory agencies should penalize the officials lacking the political will. There is limitation based on the fact that the research is done only in the south-east, neglecting other regions of the country. Also, the assertion made by the researcher alluding to the fact that the public sector officials in the southeast pursue their interests first before those of their principals, may not hold water in other regions of Nigeria.

Nzewi and Faith (2020) determined effect of international public sector accounting standards (IPSAS) on Delta State ministry of finance with emphasis on accountability and, transparency among public officers in Delta State. Survey research design was adopted. A sample of one hundred and eighty-five (185) was drawn from a population of three hundred and forty-three (343) staff from Delta State Ministries, Departments, and Agencies (MDAs). Data was obtained from questionnaire administered on the sample population. Data obtained was analysed using five-point likert's scale and the formulated hypotheses were tested using regression analysis with the aid of SPSS Version 20.0. From the analysis of the data, the adoption of International public sector accounting standards leads to accountability and transparency among public officers in the ministry. The study recommended that Nigerian government should provide the necessary requirements for full implementation and sustenance of IPSAS in the public sector if it is actually sincere and serious about tackling corruption in the country. The research was based on analysis from respondents in only one ministry.

Bashir and Amir (2020) evaluated international public sector accounting standards and quality of financial reporting in the public sector of Pakistan: Moderating role of accounting information system. The research methodology was based on a questionnaire sent to state-owned entities. Regression Analysis was employed to determine the relationship among the variables. The results indicate that comparability, financial statement disclosure, and transparency are all positively and significantly associated with the quality of financial reporting, providing evidence of the impact of explanatory variables on the quality of reporting in Pakistan. The research was carried out in just one country in Asia, thereby limited in its findings.

Wilson et al (2020) evaluated sustainability reporting and performance of listed upstream petroleum companies in Nigeria. The study adopted a descriptive research design. Secondary data were obtained from the annual sustainability reports of the listed oil and gas companies on the NSE as of 2018 using a content analysis approach. The study found evidence of inadequate reporting of sustainable economic performance by the major oil and gas firms, especially the financial implications and other risks and opportunities due to climate change. The results also show that the oil and gas companies are less perturbed by environmental conservatism due to weak environmental law enforcement. The findings also indicate that there is sustainability implementation laxity or apathy in Nigeria. There is an existing gap because few firms in the upstream oil and gas sector were captured in this research and the findings cannot be generalized.

Ashibogwu (2020) investigated audit risk and financial statements quality of manufacturing companies in Nigeria. The study utilized the descriptive survey design. The sample size for the study consisted of fifty (50) members of staff of the selected manufacturing firms in Rivers State. The primary data for the study were collected from respondents using personal interviews and questionnaire instruments which were found to be reliable with Cronbach Alpha of above 0.7 coefficients. Data were analyzed using descriptive and Pearson correlation coefficient statistical tools with the aid of Statistical Package for Social Sciences (SPSS) version 21.0. The findings at 0.05 level of significance reveal that control risk has a moderate negative relationship with timeliness ($r= 0.599^{**}$) and a strong negative relationship with relevance ($r = -0.889^{**}$) in the surveyed manufacturing firms in Rivers State. Based on the findings, the researchers concluded that audit risk negatively impacts the financial statement quality in the selected manufacturing firms in Rivers State. The sample size of the study is quite small and should be expanded on, in subsequent research on this area.

Nzewi and Enuenwemba (2020) evaluated the impact of IPSAS on the Delta State Ministry of finance. One hundred and eighty-five (185) participants from Delta State Ministries, Departments, and Agencies (MDAs) were selected for the survey research design. Regression analysis was used to assess the data collected from the main source. The adoption of international public sector accounting standards was found to boost the efficiency and accountability of public employees. The research was limited to Delta state.

## METHODOLOGY

### Research Design

The descriptive survey design is employed in this study because it helps in obtaining similar information from various groups of persons through the use of an administered questionnaire. This method of analysis involves collecting, analysing and interpreting data by paying a strict attention to respondents. It will be closed-ended and seeks a structured response that reflects the respondents' thought on the subject matter.

**Population, Sample Size Determination and Sampling Technique**

The population consisted of One Thousand Nine hundred and Sixty-Six (1966) accountants and auditors in all Lagos State Ministries as at 28 February 2024. According to IFAC (2011), public sector Accountants and Auditors are obliged to seeing to the successful implementation of IPSAS. The choice of the Ministries is because they are directly concerned with regulation, supervision, audit, review, record keeping and management of financial resources of the government in each Ministry (Klynveld, Peat, Marwick & Goerdeler, KPMG, 2016). Most often, quite a huge number of Accountants and Auditors are found in these Ministries (Udeh & Sopekan, 2015). The sample size for this study was 400 based on the application of the Taro Yemane formula. The distribution of the population and sample is as shown in table 1 below

**Table 1 Population and Sample Distribution of the Study**

| | **Lagos State Ministries (Headquarters)** | **Pop.** | **Sample size** | **10% increase** | **Final Sample Size** |
|---|---|---|---|---|---|
| 1 | Ministry of Finance (including Office of the Accountant General) | 269 | 269/1966*400 = 55 | 55*1.1 | 60 |
| 2 | Ministry of Environment | 80 | 80/1966*400 = 16 | 16*1.1 | 18 |
| 3 | Ministry of Agriculture and cooperatives | 73 | 73/1966*400 = 15 | 15*1.1 | 16 |
| 4 | Ministry of Health | 96 | 96/1966*400 = 20 | 20*1.1 | 22 |
| 5 | Ministry of Commerce and Industry | 79 | 79/1966*400 = 16 | 16*1.1 | 18 |
| 6 | Ministry of Economic planning and budget. | 78 | 78/1966*400 = 16 | 16*1.1 | 18 |
| 7 | Ministry of Education | 96 | 96 | 20*1.1 | 22 |
| 8 | Ministry of Energy & Mineral Resources | 80 | 80/1966*400 = 16 | 16*1.1 | 18 |

| | | | | | |
|---|---|---|---|---|---|
| 9 | Ministry of Establishments, Training and Pensions | 87 | 87/1966*400 = 18 | 18*1.1 | 20 |
| 10 | Ministry of Home Affairs & Culture | 85 | 85/1966*400 = 17 | 17*1.1 | 19 |
| 11 | Ministry of Housing | 70 | 70/1966*400 = 14 | 14*1.1 | 15 |
| 12 | Ministry of Information and strategy | 69 | 69/1966*400 = 14 | 14 | 15 |
| 13 | Ministry of Local Government & Community Affairs | 15 | 73/1966*400 = 15 | 15*1.1 | 16 |
| 14 | Ministry of Physical Planning & Urban Development | 75 | 75/1966*400 = 15 | 15*1.1 | 16 |
| 15 | Ministry of Science & Technology | 78 | 78/1966*400 = 16 | 16*1.1 | 18 |
| 16 | Ministry of Special Duties & Intergovernmental Relations | 80 | 80/1966*400 = 16 | 16*1.1 | 18 |
| 17 | Ministry of Transportation | 85 | 85/1966*400 = 17 | 17*1.1 | 19 |
| 18 | Ministry of Waterfront Infrastructure Development | 71 | 71/1966*400 = 14 | 14*1.1 | 15 |
| 19 | Ministry of works and Infrastructure | 78 | 78/1966*400 = 16 | 16*1.1 | 17 |
| 20 | Ministry of Youth, Sports & Social Development | 89 | 89/1966*400 = 18 | 18*1.1 | 20 |
| 21 | The Ministry of Women Affairs and | 93 | 93/1966*400 = 19 | 19*1.1 | 21 |

| | | | | | |
|---|---|---|---|---|---|
| | Poverty Alleviation | | | | |
| 22 | Lagos State Ministry of Justice | 82 | 82/1966*400 = 17 | 17*1.1 | 19 |
| | Total | 1966 | 400 | | 440 |

**Source: Field Work, 2024**

Therefore, based on the final sample size of 400 determined above, the sample size to be administered to respondents was 440 questionnaires after provision for 10% to accommodate some questionnaires that may not be returned (Oke 2020). Therefore, the final operational sample size arrived at was 440.

**Sampling Technique**

This study adopted stratified sampling technique by dividing the sample into strata and utilized probability random sampling method in administering questionnaires to respondents (accountants and auditors) in each strata, since the study had twenty-two stratas comprising of all Ministries in Lagos state.

**Methods of Data Collection**

Primary data was the main source of information to be used for this study. A questionnaire was provided and formulated on a 5-point Likert scale of strongly agree, agree, undecided, disagree, and strongly disagree. This was done to gather data from knowledgeable staffs on the effect of IPSAS adoption

**Reliability**

To ascertain the reliability of the instrument, questionnaire was administered to Accounting Officers and Internal Auditors of all Ministries in Lagos State who are directly in charge. The questionnaire before being administered was closely examined by supervisors. A pre-test approach of the Cronbach alpha coefficient test was used to gauge the instruments' internal consistency in order to guarantee the instrument's dependability, validity and reliability.

**Validity**

The research questions was distributed to Accountants Officers and Internal Audit staffs in all the, Ministry in Lagos State. Majority of them are senior staff who had at least 10 years' experience. This shows that information gathered from them was valid since they are adults who are experienced in the field of accounting.

**Technique for Data Analysis and Model**

Ordinary least square (OLS) regression method was used in this study as the statistical method for analysing the data gathered. This study adopts OLS because it allows adjusted coefficient of determination (adj. R2) as a unit to measure the relationship between dependent variables (IPSAS Adoption) and independent variables (Quality of financial reporting). The Statistical Package for Social Sciences (SPSS) was used to analyse the data collected for the study. The model is express below.

FULLD, TRASP, COMPA, ACCTA, VALUR =f (IPSAD ………………… ..………(1)

With the aid of this equation the study arrived at 4 models which are presented as follows

$FULLDAi_t = β0 + B1\ IPSADi_t + Ui_t$,…………………………………………………………..(1)

$TRASPi_t = β0 + B2\ IPSADi_t + Ui_t$,………………………………………………………....(2)

$COMPAi_t = β0 + B3\ IPSADi_t + Ui_t$,…………………………………………………………..(3)

$ACCTAi_t = β0 + B4\ IPSADi_t + Ui_t$,……………………………………………………………(4)

$VALURi_t = β0 + B5\ IPSADi_t + Ui_t$,…………………………………………………………….(5)

Where,

IPSAD IPSAS adoption

FULLD = Full disclosure of financial Statements

TRASP = Transparency of financial Statements

COMPA = Comparability of financial Statements

ACCTA= Accountability of financial Statements
VALUR= Value relevance of financial Statements

Bo is the intercept while B1-5 is the coefficient of the independent variables while U=error term.

Where $\beta 0$, $\beta 1$, $\beta 2$, $\beta 3$, $\beta 4$ and $\beta 5$ are the coefficients of independent variables.
The apriori expectation is that $\beta 1 > 0$, $\beta 2 > 0$, $\beta 3 > 0$, $\beta 4 > 0$ and $\beta 5 > 0$.

**DATA PRESENTATION AND ANALYSIS**

**Descriptive Statistics of the Study**

| | N | Minimum | Maximum | Mean | Std. Deviation |
|---|---|---|---|---|---|
| IPSAD | 389 | 2.71 | 5.00 | 4.1980 | 0.44517 |
| FULLD | 389 | 2.60 | 5.00 | 4.3990 | 0.50400 |
| TRASP | 389 | 1.60 | 5.00 | 3.8802 | 0.85960 |
| COMPA | 389 | 2.20 | 4.80 | 3.8005 | 0.58301 |
| ACCTA | 389 | 2.20 | 5.00 | 3.9964 | 0.57874 |
| VALUR | 389 | 1.80 | 5.00 | 4.0380 | 0.66005 |

**Source: SPSS 23 Outputs**

The Table above shows that IPSAS adoption (IPSAD) in Lagos State has a mean value of 4.198 with standard deviation of 0.445, and minimum and maximum values of 2.71 and 5 respectively. This suggests a wide dispersion of IPSAS adoption on quality of financial reporting and the implication of this is that there was no unanimous agreement as to the effect of IPSAS adoption on quality of financial reporting of the respondents in Lagos State. It also implies that the respondents in Lagos State do not have a uniform pattern of adopting IPSAS on quality of financial reporting in Lagos State Ministries. The same is applicable for Full disclosure, Transparency, Comparability, Accountability and Value Relevance where their mean value, standard deviation, minimum and maximum values show a wide dispersion.

**SPEARMAN CORRELATION ANALYSIS**
***Correlation Matrix of variables***

| Variables | Coefficients | IPSAD | FULLD | TRASP | COMPA | ACCTA | VALUR |
|---|---|---|---|---|---|---|---|
| **IPSAD** | Correlation Coefficient | 1.000 | | | | | |
| | Sig. (2-tailed) | . | | | | | |
| **FULLD** | Correlation Coefficient | 0.638** | 1.000 | | | | |
| | Sig. (2-tailed) | 0.000 | . | | | | |
| **TRASP** | Correlation Coefficient | 0.471** | 0.246** | 1.000 | | | |
| | Sig. (2-tailed) | 0.000 | 0.000 | . | | | |
| **COMPA** | Correlation Coefficient | 0.527** | 0.461** | 0.505** | 1.000 | | |
| | Sig. (2-tailed) | 0.000 | 0.000 | 0.000 | . | | |
| **ACCT** | Correlation Coefficient | .329** | 0.238** | 0.440** | 0.494** | 1.000 | |
| | Sig. (2-tailed) | 0.000 | 0.000 | 0.000 | 0.000 | . | |
| **VALUR** | Correlation Coefficient | 0.070 | 0.073 | 0.142** | 0.063 | -0.035 | 1.000 |
| | Sig. (2-tailed) | 0.168 | 0.152 | 0.005 | 0.218 | 0.492 | . |

**Source: SPSS 23 Outputs**

The Table above shows that IPSAS adoption had positive and significant association with all the dependent variables of Full disclosure (FULLD), Transparency (TRASP), Comparability (COMPA), Accountability (ACCTA) and value relevance (VALUR) of financial statements indicating that as the independent variable (IPSAS adoption) increases, quality of financial reporting in Lagos State Ministries also increases. This can be confirmed with their positive coefficients of 0.63, 0.47 and 0.52 and 0.33 and 0.07 respectively while they had p-values of 0.000 each with the exception of value relevance of financial statements that had p-value of 0.168.

**Test of Hypotheses**

The univariate analysis undertaken in order to test the hypotheses stated is presented below:

**Model 1**

***Ho1:*** *IPSAS adoption has no significant effect on full disclosure of financial reporting in Lagos State Ministries.*

The regression analysis results of the data as reveal that under model 1, the R- Squared often referred to as the coefficient of determination of the variables was 0.356. The R- Squared which is also a measure of the overall fitness of the model indicates that the model is capable of explaining about 35.6% of the variability of the IPSAS adoption on full disclosure of financial statements in Lagos State. This also indicates that the model can explain about 35.6% of the systematic variations in the dependent variable. This result is equally complimented by the adjusted R-squared which reveals that 35.4% of the variation in the dependent variable of the model is explained by variations in the independent variable. This is also confirmed by the Fisher's (F) statistics of 214.057 which is statistically significance at 1% level of significance with a p-value of 0.000.

**Regression Estimates for Full Disclosure of financial statements- Model 1**

| **Variables** | **Coefficients** | **T-Values** | **P-Values** |
|---|---|---|---|
| **Constants** | 1.563 | 8.015 | .000 |
| IPSAD | .597 | 14.631 | .000 |
| $R^2$ | .356 | | |
| Adj. $R^2$ | .354 | | |
| F-Stat. | 214.057 | | |
| F- Sig | | | 0.000 |

**Source: SPSS 23 Outputs**

Table shows that the regression results of the model with IPSAS adoption had a positive and significant coefficient of 0.597 and a p value of 0.000 with full disclosure of financial statements (FULLD). The implication of this finding is that as IPSAS adoption in Lagos State increases the level of full disclosure of financial statements also increases significantly. This is because, the probability value of 0.000% is less than 0.05% level of significance (0.000% < 0.05%) and on the basis of this, the study rejects the null hypothesis which stated that IPSAS adoption has no significant effect on full disclosure of financial statements in Lagos State.

**Model 2**

***Ho2:*** *IPSAS adoption has no significant effect on transparency of financial reporting in Lagos State Ministries.*

Furthermore, the regression analysis results of the data as reveal that under model 2, the R-Squared often referred to as the coefficient of determination of the variables was 0.275. The R-Squared which is also a measure of the overall fitness of the model indicates that the model is capable of explaining about 27.5% of the variability of the IPSAS adoption on transparency of financial statements in Lagos State. This also indicates that the model explains about 27.5% of the systematic variations in the dependent variable. This result is equally complimented by the adjusted R-squared which reveals that 27.3% of the variation in the dependent variable of the model is explained by variations in the independent variables. This is also confirmed by the Fisher's (F) statistics of 146.525 which is statistically significance at 1% level of significance with a p-value of 0.000.

**Regression Estimates for Transparency- Model 2**

| Variables | Coefficients | T-Values | P-Values |
|---|---|---|---|
| **Constants** | -.368 | -1.043 | .298 |
| IDAP | .524 | 12.105 | .000 |
| $R^2$ | .275 | | |
| Adj. $R^2$ | .273 | | |
| F-Stat. | 146.525 | | |
| F- Sig | 0.000 | | 0.000 |

**Source: SPSS 23 Outputs**

Table above shows that the regression results of the model, IPSAS adoption has a positive and significant coefficient of 0.524 and a p value of 0.000 respectively with transparency (TRASP) The implication of this finding is that as IPSAS adoption in Lagos State increases the level of transparency of financial statements also increases significantly. This is because, the probability value of 0.000% is less than 0.05% level of significance (0.000% < 0.05%) and on the basis of this, the study rejects the null hypothesis which stated that IPSAS adoption has no significant effect on transparency of financial statements in Lagos State.

**Model 3**

**Ho3:** *IPSAS adoption has no significant effect on comparability of financial reporting in Lagos State Ministries.*

Similarly, the findings from the regression analysis results amongst staff in Lagos State as shown reveal that under the model 3, the R-

Squared often referred to as the coefficient of determination of the variables was 0.28.7. The R- Squared which is also a measure of the overall fitness of the model indicates that the model is capable of explaining about 28.7% of the variability of the IPSAS adoption on comparability of financial statements in Lagos State. This also indicates that the model explains about 28.7% of the systematic variations in the dependent variable. This result is equally complimented by the adjusted R-squared which reveals that 27.5% of the variation in the dependent variable of the model is explained by variations in the independent variable. This is also confirmed by the Fisher's (F) statistics of 155.96 which is statistically significance at 1% level of significance with a p-value of 0.000.

**Regression Estimates for Comparability- Model 3**

| **Variables** | **Coefficients** | **T-Values** | **P-Values** |
|---|---|---|---|
| **Constants** | .854 | 3.599 | .000 |
| IPSAD | .536 | 12.489 | .000 |
| $R^2$ | .287 | | |
| Adj. $R^2$ | .285 | | |
| F-Stat. | 155.964 | | |
| F- Sig | | | 0.000 |

**Source: SPSS 23 Outputs**

Above Table shows that the regression results of the model, IPSAS adoption has a positive and significant coefficient of 0.536 and a p value of 0.000 with comparability (COMPA) of financial reporting and this implies that IPSAS adoption had a positive and significant influence on comparability of financial reporting in Lagos State Ministries. The implication of this finding is that as IPSAS adoption in Lagos State increases the level of comparability of financial reporting also increases significantly. This is because, the probability value of 0.000% is less than 0.05% level of significance (0.000% < 0.05%) and on the basis of this, the study rejects the null hypothesis which stated that IPSAS adoption has no significant effect on comparability of financial reporting in Lagos State Ministries.

**Model 4**

***Ho4****: IPSAS adoption has no significant effect on accountability of financial reporting in Lagos State Ministries.*

Findings from the regression analysis results amongst staff in Lagos State as shown reveal that under the model 4, the R- Squared often referred to as the coefficient of determination of the variables was 0.144. The R- Squared which is also a measure of the overall fitness of the model indicates that the model is capable of explaining about 14.4% of the variability of the IPSAS adoption on accountability of financial reporting in Lagos State Ministries. This also indicates that the model explains about 14.4% of the systematic variations in the dependent variable. This result is equally complimented by the adjusted R-squared which reveals that 14.1% of the variation in the dependent variable of the model is explained by variations in the independent variables. This is also confirmed by the Fisher's (F) statistics of 64.944 which is statistically significance at 1% level of significance with a p-value of 0.000.

**Regression Estimates for Accountability- Model 4**

| **Variables** | **Coefficients** | **T-Values** | **P-Values** |
|---|---|---|---|
| **Constants** | 1.928 | 7.467 | 0.000 |
| IDAP | 0.379 | 8.059 | 0.000 |
| $R^2$ | 0.144 | | |
| Adj. $R^2$ | 0.141 | | |
| F-Stat. | 64.944 | | |
| F- Sig | | | 0.000 |

**Source: SPSS 23 Outputs**

The Table shows that the regression results of the model, IPSAS adoption (IPSAD) has a positive and significant coefficient of 0.379 and a p value of 0.000 with accountability (ACCTA) and this implies that IPSAS adoption had a positive and significant influence on accountability of financial reporting in Lagos State Ministries. The implication of this finding is that as IPSAS adoption in Lagos State increases the level of accountability also increases significantly. This is because, the probability value of 0.000% is less than 0.05% level of significance (0.000% < 0.05%) and on the basis of this, the study rejects the null hypothesis which stated that IPSAS adoption has no significant effect on accountability in Lagos State.

**Model 5**

***Ho5****: IPSAS adoption has no significant effect on value relevance of financial reporting in Lagos State Ministries.*

Findings from the regression analysis results amongst staff in Lagos State as reveal shows that under the model 5, the R- Squared often referred to as the coefficient of determination of the variables was 0.005. The R- Squared which is also a measure of the overall fitness of the model indicates that the model is capable of explaining about 0.5% of the variability of the IPSAS adoption on quality of financial reporting in Lagos State Ministries. This also indicates that the model explains about 0.5% of the systematic variations in the dependent variable. This result is equally complimented by the adjusted R-squared which reveals that 0.2% of the variation in the dependent variable of the model is explained by variations in the independent variables. This is also confirmed by the Fisher's (F) statistics of 1.946 which is statistically insignificance at 1% level of significance with a p-value of 0.16.

**Regression Estimates for Value relevance- Model 5**

| Variables | Coefficients | T-Values | P-Values |
|---|---|---|---|
| **Constants** | 3.598 | 11.336 | .000 |
| IDAP | .071 | 1.395 | .164 |
| $R^2$ | .005 | | |
| Adj. $R^2$ | .002 | | |
| F-Stat. | 1.946 | | |
| F- Sig | | | 0.16 |

**Source: SPSS 23 Outputs**

The Table shows that the regression results of the model, IPSAS adoption (IPSAD) has a positive and insignificant coefficient of 0.071 and a p value of 0.164 with value relevance of financial statements (VALUR) and this implies that IPSAS adoption had a positive and insignificant influence on value relevance of financial reporting in Lagos State Ministries. The implication of this finding is that as IPSAS adoption in Lagos State increases the level of value relevance of financial statements also increases insignificantly. This is because, the probability value of 0.164% is less than 0.05% level of significance (0.164% > 0.05%) and on the basis of this, the study fails to reject the null hypothesis which stated that IPSAS adoption has no significant effect on value relevance of financial statements in Lagos State.

**Discussion Of Findings**

Based on the regression results, the study found that IPSAS adoption has a positive and significant effect on full disclosure of financial statements in Lagos State. These findings are in support of the works of Okere et al. (2017) that found a positive and significant influence of IPSAS adoption on full disclosure of financial statements in the public sector.

Similarly, the study found that IPSAS adoption has positive and significant influence on transparency in Lagos State. These findings are consistent with those of Obara and Nangih (2017) and Duenya et al. (2017) that found a positive and insignificant influence of IPSAS adoption on transparency of financial statements in the public sector.

Furthermore, the study found that IPSAS adoption had a positive and significant influence on comparability of financial statements in Lagos State. These findings are in tandem with those of Ijeoma and Oghoghomeh (2014) and Balogun (2016) that found a positive and significant influence of IPSAS adoption on comparability of financial statements in public sector.

In addition, the study found that IPSAS adoption has a positive and significant influence on accountability of financial reporting in Lagos State Ministries. These findings support those of Obara and Nangih (2017) and Duenya et al. (2017) who found a positive and significant influence of IPSAS adoption on accountability in the public sectors.

Also, the study found that IPSAS adoption has a positive and insignificant influence on value relevance of financial reporting in Lagos State Ministries. These findings support those of Ofoegbu (2014) who found a positive and significant influence of IPSAS adoption on value relevance in the public sector.

**Summary**

The main objective of this study is to examine the effect of IPSAS adoption on quality of financial reporting in Lagos State Ministries using primary data extracted from questionnaires which were transformed from qualitative information to quantitative values. The study uses five dependent variables comprising full disclosure of financial reports, transparency, comparability, accountability and value relevance of financial statements.

The results of the study showed that IPSAS adoption had positive and insignificant effect on value relevance of financial reporting in Lagos State Ministries at 1% level of significance which implies that as IPSAS adoption increases the level of value relevance of financial statements also increases but at an insignificant level.

**Conclusion**

Based on the discussion and analysis of the study, the study has provided both empirical and statistical evidence on the utility of one independent variable against five dependent variables that constitute: Full disclosure (FULLD), Transparency (TRASP), Comparability (COMPA), Accountability (ACCTA) and value relevance (VALUR) on quality of financial reporting in Lagos State Ministries. Also, the study concludes that there is a positive and significant effect of IPSAS adoption on full disclosure of financial statements in Lagos State. This therefore provides evidence that IPSAS adoption has positive and significant effect on full disclosure of financial reporting in Lagos State Ministries.

In addition, the study concludes that there is a positive and significant influence of IPSAS adoption on transparency of financial reports in Lagos State. This may be due to the fact that when financial reports are prepared using the guidelines given by IPSAS it improves the transparency of financial statements. Thus, the more IPSAS is adopted, the more the transparency of financial reporting in Lagos State Ministries.

Additionally, the study concludes that there is a positive and significant effect of IPSAS adoption on comparability of financial reporting in Lagos State Ministries. This implies that IPSAS adoption is enhancing comparability of financial statements in Lagos State. Therefore, the greater the level of IPSAS adoption, the higher the comparability financial reporting in Lagos State Ministries.

Furthermore, the study concludes that IPSAS adoption has a positive and insignificant effect on value relevance of financial reporting in Lagos State Ministries. It implies that as the level of IPSAS adoption increases full disclosure of financial statements in Lagos State also increases insignificantly.

**Recommendations**

The following recommendations are made based on the findings of this study. The management of all ministries in Lagos State should continue to adopt IPSAS and this can be done by training and retraining their members of staff such as accountants, tax officers and auditors to ensure optimal adoption of IPSAS because the study has shown that it improves the quality of financial reporting. In addition, managers should always be provided with good remuneration and conducive working environment for their staff to enhance IPSAS adoption to enhance quality of financial reporting in Lagos State Ministries.

**REFERENCES**

Adedeji, Z. A. (2024). IPSAS adoption and financial reporting quality in public sector of the south western Nigeria: Assessment of the mediating role of contingency factors. *American Journal of Humanities and Social Sciences Research*, *8*(2), 21–35.

Ademola, A. O., Adegoke, O. K., & Oyeleye, O. A. (2017). Impact of International Public Sector Accounting Standards (IPSAS) adoption on financial accountability in selected local governments of Oyo State Nigeria. *Asian Journal of Economics, Business and Accounting*, *3*(2), 1–9.

Akintoye, I. R., & Asaolu, T. O. (2021). Public sector accounting standards in Nigeria:

Challenges and prospects. *Journal of Accounting and Taxation*, *13*(2), 77–86.

Atuilik, W. A., & Salia, H. (2019). Impact of IPSAS adoption on transparency and accountability in managing public funds in developing countries: Evidence from Liberia. *Journal of Accounting and Taxation*, *11*(16), 99–110.

Bello, A. O., Ishola, J. O., & Raheed, L. O. (2022). The influence of International Public Sector Accounting Standards (IPSAS) on financial reporting quality of public health institutions in Nigeria. *Journal of Accounting and Financial Management*, *8*(4), 37–59.

Beredugo, S. B. (2021). International Public Sector Accounting Standards (IPSAS) implementation and financial reporting: Issues and challenges in South-East Nigeria. *Journal of Accounting and Taxation*, *1*(1), 1–11. https://doi.org/10.47747/jat.v1i1.405

Brusca, I., & Martínez, J. C. (2016). Adopting international public sector accounting standards: A challenge for modernizing and harmonizing public sector accounting. *International Review of Administrative Sciences*, *82*(4), 724–744.

Dabor, A. O., & Aggreh, M. (2017). *Adoption of International Public Sector Accounting by government ministries and agencies in Nigeria*. [Publisher information needed].

DiMaggio, P. J., & Powell, W. W. (1983). The iron cage revisited: Institutional isomorphism and collective rationality in organizational fields. *American Sociological Review*, *48*(2), 147–160.

Egolum, P. U., & Ndum, N. B. (2021). The effect of international public sector accounting standard (IPSAS) on financial reporting quality of Anambra State public sector. *International Journal of Management, Social Sciences, Peace and Conflict Studies*, *4*(3), 51–67.

Elugom, U. F., & Onyeka, E. E. (2023). Impact of IPSAS adoption on the quality of financial reporting (A study of the office of accountant general of the federation). *Sapientia Global Journal of Arts, Humanities and Development Studies*, *6*(4), 313–330.

Ezeagba, C. E. (2017). The adoption of international public sector accounting standards (IPSAS) in Nigeria: Benefits and challenges. *African Research Review*, *11*(3), 157–171.

Gkouma, O. G., & Filos, J. (2022). Assessing the impact of IPSAS on financial reporting and public management in Greece. *SPOUDAI Journal of Economics and Business*. [Volume and page numbers needed].

Ibanuchuka, E., & James, O. (2014). A critique of cash-based accounting and budget implementation in Nigeria. *European Journal of Accounting, Auditing and Finance Research*, *2*(3), 69–83.

Ijeoma, N. B., & Oghoghomeh, T. (2014). Adoption of International Public Sector Accounting Standards in Nigeria: Expectations, benefits and challenges. *Journal of Investment and Management*, *3*(1), 21–29. https://doi.org/10.11648/j.jim.20140301.13

Izedonmi, F., & Ibadin, P. O. (2013). International Public Sector Accounting Framework, regulatory agencies and standard setting procedures: A critique. *European Journal of Business and Management*, *5*(6). [Page numbers needed].

Ofoegbu, G. N. (2014). New public management and accrual accounting basis for transparency and accountability in the Nigerian public sector. *IOSR Journal of Business and Management*, *16*(7), 104–113.

Oke, C. F. (2020). *Attitudes towards care of the elderly in Otor-owhe Community, Isoko North, Delta State* [Unpublished master's dissertation]. University of Benin.

Olola, O. A. (2019). Effects of international public sector accounting standards on financial accountability in Lagos State public sector. *European Journal of Accounting, Auditing and Finance Research*, *7*(3), 41–54.

## APPENDICES

### Research Questionnaire

Department of Public Sector Accounting
Anan University
Jos, Plateau State
Nigeria.

Dear Respondent,

The objective of this questionnaire is to obtain information on the study of the **Effect of IPSAS**

**Adoption on Financial Reporting Quality in Lagos state.** It is purely for academic purpose. Kindly complete this questionnaire as honestly as possibly.

Please be assured that your answers will be treated with strict confidence and used mainly for the aforementioned purpose.

Your co-operation is highly anticipated and appreciated.

Yours Faithfully,

John Achua

**SECTION A: Personal Data**

Please Tick √ appropriate response of your choice

1. Gender: Male Female
2. Your Employer……………………………… ………………………………………
3. Age: 18-29 Years (2) 30-39 Years (1) 40-49 Years (3) 50-59 Years (4) 60 Years and more (5)
4. Qualifications: OND/NCE (1) B.Sc//HND (2) B.Sc//ICAN/ANAN (3) Masters and others
5. (4)
6. Work Experience: 1-10 Years (1) 11-20 Years (2) 21-30 Years (3) 31-40 Years (4)

**SECTION B: IPSAS Adoption and financial Reporting Quality in Lagos State Ministries and Agencies.**
Please Tick √ as appropriate

| S/N | Question Items | 5 | 4 | 3 | 2 | 1 |
|---|---|---|---|---|---|---|
| | **INDEPENDENT VARIABLES** | | | | | |
| **A** | **Full disclosure and financial reporting Quality** | | | | | |
| 1 | All accounting information are shown in detail | | | | | |
| 2 | Enhances the understanding of all financial information | | | | | |
| 3 | It indicates the accounting policies that are being used | | | | | |
| 4 | It ensures that even non-monetary transactions are disclosed | | | | | |
| 5 | It improves the goodwill and credibility of the organization | | | | | |
| **B** | **Transparency and financial reporting quality.** | | | | | |

| | | | | | | |
|---|---|---|---|---|---|---|
| 1 | Transparency enhances trust and confidence in the financial statements | | | | | |
| 2 | Transparency helps in financial communication to stakeholders | | | | | |
| 3 | Transparency provokes sharing of ideas for better financial performance | | | | | |
| 4 | Transparency is usually a proof of better financial records management | | | | | |
| 5 | Transparency shows cost minimization management of the organization. | | | | | |
| **C** | **Comparability and financial reporting Quality?** | | | | | |
| 1 | Comparability ensures that insightful conclusions are made using an objective basis | | | | | |
| 2 | It indicates the trends of financial performance | | | | | |
| 3 | Results of one entity can be compared with another | | | | | |
| 4 | Comparability enhances financial Control of the organization | | | | | |
| 5 | It enhances decision making of the organization | | | | | |
| **D** | **Accountability and Financial Reporting Quality** | | | | | |
| 1 | Accountability leads to better financial performance | | | | | |

| | | | | | | |
|---|---|---|---|---|---|---|
| 2 | Accountability indicates financial competency and efficiency of the organization. | | | | | |
| 3 | Accountability indicates the creativity of using the financial resources of the organization | | | | | |
| 4 | Accountability boosts the moral and satisfaction of stake-holders | | | | | |
| 5 | Accountability ensures that the financial goals of the organizations are being achieved | | | | | |
| **E** | **Value relevance and financial reporting Quality.** | | | | | |
| 1 | Value relevance ensures that informed financial decisions are made | | | | | |
| 2 | Value relevance ensures that investment decisions are made based on relevant information | | | | | |
| 3 | Value relevance ensures that financing decisions are made | | | | | |
| 4 | Value relevance ensures confirmatory value for decision makings. | | | | | |
| 5 | Value relevance enhances predictive value for decision makings. | | | | | |
| | **DEPENDENT VARIABLE** | | | | | |
| **F** | **IPSAS Adoption and Financial Reporting Quality** | | | | | |
| 1 | IPSAS Adoption enhances full disclosure of financial reporting for decision making. | | | | | |

| | | | | | | |
|---|---|---|---|---|---|---|
| 2 | IPSAS Adoption enhances Accountability of financial reporting | | | | | |
| 3 | IPSAS Adoption enhances Transparency of financial reporting | | | | | |
| 4 | IPSAS Adoption enhances Value relevance of financial reporting is useful to financial reporting. | | | | | |
| 5 | IPSAS Adoption enhances Comparability of financial reporting for decision making | | | | | |
| 6 | Adoption of International Public Sector Accounting Standards based on standards will provide more meaningful information for decision making | | | | | |
| 7 | Information provided using International Public Sector Accounting Standards based on standards are more reliable | | | | | |

Scale: Strongly Agree (5) Agree (4) Undecided (3) Disagree (2) Strongly Disagree (1)